

income on medical care. At the opposite end is the weighting that is placed on Food and Beverage. Its relative importance in the elderly inflation rate is 0.13 compared to 0.16 for the working rate. Table 5.4 shows the change in median expenditure over the entire U.S. population on these two items as we age. You can see that while in our forties and fifties, we spend almost three times more on food and beverage than on medical care. By the time we get into our late 70s, our food and beverage expenditure is only a fraction of our medical care expenses.

**TABLE 5.4 Consumer Expenditure Survey:
 U.S. Department of Labor (BLS) 2005**

Annual Average	Age: 45–54	Age: 55–64	Age: 65–74	Age: 75+
<i>Food & Beverage</i>	\$7,438	\$6,656	\$5,224	\$3,555
<i>Medical Care</i>	\$2,672	\$3,410	\$4,176	\$4,210
<i>Ratio of Food & Beverage to Medical Care</i>	2.78	1.95	1.25	0.84

Source: Consumer Expenditures in 2005 (annual report), U.S. Department of Labor, Bureau of Labor Statistics.

I often see surprised reactions when people learn that a private room in a nursing home can cost as much as \$330 per day, depending on the geographical location. Table 5.5 displays a sample average for this expense, which partially contributes to the rise in medical care costs that are seen in retirement. And while the topic of long-term care insurance—as well as general estate planning, Medicare, Medicaid, and other retirement risks—are well beyond the scope of this book, suffice it to say that one should give serious considerations to these issues. Health-related expenditures will become a much larger component of your spending and financial constraints as you age, which, among other things, means that inflation for medical care will have a greater impact on your personal inflation rate.

Here is the bottom line regarding retiree inflation as it pertains to retirement income planning. From early 1982 until late December 2006, the compound annual inflation rate in the U.S. as measured by the regular inflation rate for wage earners was 2.96% per annum.